

ZATCA Phase 2 Compliance Checklist

FALCON SMART SOLUTIONS
Odoo Implementation · KSA & Egypt

A 12-point readiness check for Saudi businesses preparing to integrate with the Fatoora platform. Designed for finance managers and business owners. No developer background needed to read it.

WHY THIS MATTERS NOW

Wave 24 (annual VAT-taxable revenue above SAR 375,000) goes live **30 June 2026**, with further waves to follow for smaller businesses. Penalties for non-compliance start at a notice for first-time violations and escalate to fines between **SAR 1,000 and SAR 40,000** for repeat offences within 12 months. ZATCA's **Cancellation of Fines and Exemption of Penalties Initiative** remains in effect through **30 June 2026**, giving businesses a window to correct past errors without financial penalty.

STAGE 1 Know where you stand

☐ 1. Confirm if Phase 2 applies to you.

Check your annual VAT-taxable revenue against the current wave threshold (SAR 375,000 under Wave 24). All VAT-registered businesses will eventually be in scope.

☐ 2. Check for your ZATCA notification.

ZATCA notifies affected businesses approximately six months before the go-live date. If you're above the threshold and haven't received it yet, expect it. Start preparing now to avoid a rushed integration.

☐ 3. Audit your current invoicing setup.

Document how invoices are generated, the format used, where they're stored, and who controls the system.

How Falcon handles this: a 30-minute readiness review covers all of the above in one session.

STAGE 2 Choose your compliance path

☐ 4. Decide your integration route.

Three common options: (a) build in-house against ZATCA's APIs, (b) adopt a ZATCA-compliant ERP such as Odoo, or (c) bolt a certified middleware/service provider onto your existing system. Each carries different cost, timeline, and ownership trade-offs.

☐ 5. Confirm your system can generate XML invoices.

All Phase 2 invoices must be issued in XML format, or PDF/A-3 with embedded XML. PDF-only invoicing does not meet the standard.

STAGE 3 Technical requirements your system must meet

☐ 6. Unique UUID generated per invoice.

A 128-bit unique identifier on every invoice, ensuring no two invoices in the ZATCA ecosystem share the same ID.

☐ 7. Cryptographic Stamp Identifier (CSID) issued and integrated.

Your solution must be registered on ZATCA's Fatoora portal and use a ZATCA-issued CSID to digitally stamp every invoice.

☐ 8. Previous Invoice Hash (PIH) embedded in each invoice.

Each invoice must carry the cryptographic hash of the immediately preceding invoice. This creates an unbreakable chain of records that cannot be retroactively altered.

☐ 9. Phase 2 QR code on every invoice.

Base64-encoded with the nine mandatory TLV tags (seller name, VAT number, timestamp, total, VAT total, hash, signature, public key, signature stamp). Phase 1 QR codes are not sufficient.

☐ 10. Solution registered on the Fatoora portal and CSID activated.

Once registration is complete, your business can transmit invoices to ZATCA in real time.

☐ 11. Live API integration with Fatoora, tested in sandbox and production.

Two invoice flows must be supported:

Standard invoices (B2B / B2G): real-time *clearance*. ZATCA must validate and digitally sign each invoice *before* you share it with the buyer.

Simplified invoices (B2C): real-time *reporting*. The invoice must be transmitted to ZATCA within 24 hours of issuance.

☐ 12. System locks out prohibited actions.

No editing, deletion, or backdating of invoices after issuance. Retain e-invoices and supporting records for the legally required period.

How Falcon handles this: *Odoo enforces these controls by design. No manual override path that creates audit risk.*

NOT SURE WHERE YOU STAND?**Book a free 30-minute ZATCA Readiness Review**

A Falcon consultant will walk through your current setup, identify gaps against these 12 items, and outline the fastest compliance path for your wave. No commitment, no sales pitch.

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